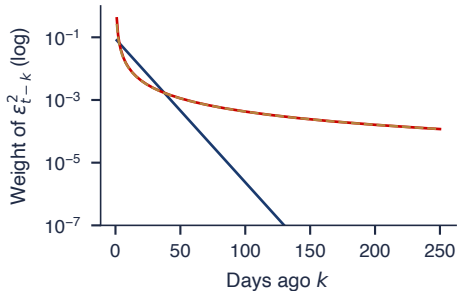


How long a shock counts in  $\sigma_t^2$



— GARCH(1,1):  $\alpha\beta^{k-1}$ ,  $\alpha = 0.08$ ,  $\beta = 0.9$

— FIGARCH:  $\lambda_k = -\pi_k$ ,  $d = 0.4$

- - -  $d k^{-1-d}/\Gamma(1-d)$